Saunders: recovery priced in, protection missing

Independent case against buying ASX:SND | 9 November 2026
Assessment to 31 August 2028 | All figures in Australian dollars

I would not buy under your rules at $0.725. Saunders is not obviously expensive if its recovery holds. The objection is that another ordinary contracting setback could halve the equity value, while the quoted offer makes entry materially dearer. Ahrens provides credible takeover optionality, but insufficient evidence of a transaction. My probabilities are judgements, not statistical estimates.

What the price requires. I use your dated share price, share count, bid/offer and turnover as supplied market inputs. The audited accounts show cash of $29.797m and total borrowings of $9.519m, including asset finance. That is $20.278m net cash before the earn-out, rather than the presentation's $22.3m headline. The full $11.85m earn-out is already accrued, although final assessment is pending. [1,2]

Calculation	Arithmetic	Result
Current equity value	140.8m × $0.725	$102.08m
Cash after debt and cash earn-out	$29.797m − $9.519m − $6.85m	$13.428m
Illustrative earn-out shares	$5m / $0.725	6.90m extra
Equity value on enlarged share count	147.70m × $0.725	$107.08m
Enterprise value, excluding leases	$107.08m − $13.428m	$93.652m
FY26 valuation	EV / revenue; (EV + $7.756m leases) / adjusted EBITDA	0.31×; 10.39×
FY26 adjusted earnings valuation (NPATA)	$107.08m / $3.864m NPATA	27.7×

This counts the share earn-out once, through dilution. Its actual issue price is the payment-date 30-day VWAP. At $0.725, existing holders lose approximately 4.7% of their percentage ownership. The approved cap is 7.69m shares; a VWAP below $0.65 can require additional cash or further approval. Lease liabilities are included in the EBITDA multiple to match lease-adjusted accounting. No intervening cash movement is assumed. [1,3]

NPATA means adjusted profit after tax before amortisation. The recovery arithmetic is more encouraging. Published H1 revenue was $143.557m, adjusted NPAT was minus $2.844m and acquisition-intangible amortisation was $1.723m. Thus H1 NPATA was approximately minus $1.121m. Subtracting from FY26 gives H2 revenue of $162.071m and NPATA of $4.985m: a **3.08% margin**. Applying that margin to flat FY26 revenue gives $9.40m NPATA, or $10.15m with illustrative 8% growth. Those imply 11.4× and 10.5× earnings respectively. Management expects revenue growth and the H2 margin to hold in FY27; it has not promised that 8% growth rate. [1,4,5]

At an assumed 12× earnings, today's diluted valuation requires $8.92m NPATA, equivalent to a 2.70% margin on $330m revenue. **The price requires a substantial recovery from FY26, but less than management's indicated margin.** That makes a simple overvaluation argument weak.

A good half is not yet a dependable business. On 13 June 2025, adjusted EBITDA guidance fell from $14m-$16m to $9m-$10m, alongside Mark Benson's announced resignation. On 31 October, Saunders said the same difficulties were continuing into H1 FY26. On 12 May 2026, revenue guidance fell from $315m-$345m to $300m-$315m and EBITDA-margin guidance from 3.5%-4.5% to 3.0%-3.5%. [6,7,8]

The May explanation was specific: about $30m shifted into FY27 because of cultural-heritage discoveries and Defence access/user-requirement changes. Saunders said project profitability was unaffected. That is plausible, but idle capacity and delayed revenue still damaged group earnings. H2 adjusted EBITDA improved to $9.39m from $0.37m in H1. I credit that recovery; I do not treat one half as proof that forecasting and utilisation risk have disappeared. [1,4,8]

The accounts are less reassuring than adjusted profit suggests. FY26's $3.864m NPATA reconciles from a $0.935m statutory loss by adding $2.260m acquisition/integration expenses and $2.539m amortisation. Excluding amortisation is defensible when assessing cash earnings, but neither acquisition spending nor integration costs are free. Adjusted NPAT before that amortisation add-back fell from $3.243m to $1.325m. [1, p30]

More significantly, adjusted EBITDA retains a $2.848m gain on disposal of non-current assets. Removing it reduces $9.762m to $6.914m, or **2.26% of revenue**. The half-year report identifies a $4m property sale in August 2025, so this concern chiefly weakens the annual headline, rather than explaining away the stronger second half. [1, notes 4,18; 4, p10]

Operating cash flow was minus $1.674m. Plant spending was $5.080m and lease repayments $1.856m: cash use of $8.610m before asset sales, acquisitions and dividends. The increased cash balance came alongside $5.275m share proceeds and $9.518m net borrowing. The cash-flow reconciliation shows $6.746m absorbed by receivables and $5.732m by contract assets, partly offset by liabilities. These movements already adjust for acquired balances. Revenue also depends on estimates of completion costs, variations and claims. None proves misstatement; together they demand evidence of cash collection. [1, pp54,65,79]

The reported 3.2% EBITDA margin leaves little room for errors. An extra cost equal to 1% of FY26 revenue is $3.06m, or 31% of reported adjusted EBITDA. At an illustrative 30% tax rate, that absorbs 55% of NPATA. A $5m project loss would absorb about 91%. The FY23 and FY24 statutory net margins of 4.72% and 4.33% demonstrate upside, but not a dependable floor. [1,9; calculations mine]

Aqua Metro improves the business but consumes the apparent cash cushion. It added water capabilities and utility relationships; the new Water segment delivered $107.537m revenue and $10.177m EBITDA in FY26. However, changed segment definitions prevent a clean organic-growth comparison. Group revenue growth of 42.5% is acquisition-driven, not evidence of equivalent underlying growth. [1, notes 3,22]

Total acquisition consideration is $32.275m, including a working-capital adjustment, against only $1.636m net identified assets before goodwill and separately recognised customer intangibles. Goodwill is $22.939m and customer intangibles initially $7.7m. This is a purchase of future earning power, not asset backing. The $6.85m cash earn-out reduces post-debt cash to about 9.1 cents per enlarged share, and that cash must fund projects. Impairment is not inevitable, but cash and goodwill do not establish a $0.725 valuation floor. [1, notes 20-22]

Visibility is real; guaranteed profitability is not. Work in hand of $571.9m equals 1.87 times FY26 revenue. The claimed 8.1% growth uses a $529m comparator including $360m of acquired Aqua work. The $5.1bn pipeline is opportunities, not signed revenue. Panels/programmes supplied 42% of revenue, improving repeat business, but October's four water arrangements explicitly guarantee no work volume. Their roughly $2bn of accessible programmes is customers' spending, not Saunders' entitlement. [1, note 11; 2,10]

The $23m Butterworth Defence head contract is a genuine advance, contributing in FY27/FY28. AusTender CN4271325 separately records a Saunders fuel-upgrade contract executed 15 July 2026, worth $26.109m, ending September 2027. The register does not identify the site, so I neither assert an exact match nor count it as an additional win. Head-contracting adds responsibility for the complete scope; success still depends on delivery economics. [11,12]

Fuel security could help before August 2028. It should not be excluded altogether. However, the official proposal starts reserve procurement/stock build from July 2027, targets full operation in 2030 and envisages government owning fuel, not storage infrastructure. Storage co-investment includes refurbishment and expansion as well as new tanks. Consultation closed in September 2026. I give no separate value to unawarded package work: the $3.2bn reserve budget is not a tank-construction budget. [13,14]

The register supports optionality, not an imminent bid. Ahrens rose from 5.34% in December 2024 to 16.2% in March 2026, about 16.1% on today's enlarged denominator. Its water/steel capabilities and acquisition of SBS Tanks make strategic fit credible. But I found no announced Saunders proposal. At 16%, it can retain exposure, influence and the option to buy later without funding or integrating the whole company. The takeover rules do not require it to bid simply because it owns this stake. [15,16,17,23]

Bryant's 18.4% is another material voting bloc, with no demonstrated obligation to support Ahrens. Anacacia (6.6%) and Burnett (5.5%) have sold shares. The Aqua vendor's 6.7% came out of escrow on 30 June, creating sale capacity, not evidence of selling. **NAOS is an important correction:** after earlier reductions, it bought 1.502m shares on 28 August, increasing to 11.04%. Calling it simply a continuing seller is wrong. These holdings can facilitate a negotiated transaction or create supply; neither outcome is assured. [1,18-22]

My outcomes at 31 August 2028. These are standalone scenarios, before a separate takeover overlay. I assume 148m shares after the earn-out, no further material issuance, and value FY28 NPATA at the multiples below. Cash is not added again to an equity earnings valuation. Dividends include only payments after purchase and before the deadline; franking and personal tax are excluded.

Outcome / chance	FY28 revenue; NPATA; multiple	Share price	Dividends; total value
Bad / 35%	$300m; $4.5m (1.5%); 10×	$0.304	$0.015; $0.319
Middling / 50%	$350m; $10.5m (3.0%); 12×	$0.851	$0.040; $0.891
Good / 15%	$400m; $16m (4.0%); 14×	$1.514	$0.070; $1.584

Bad means renewed delays/overruns and weak cash conversion, without insolvency. Middling means the recovery broadly holds and water growth offsets uneven project timing. Good requires strong panel conversion, successful Defence delivery and margins approaching historic levels. The 10×/12×/14× multiples reward increasing reliability; they are valuation assumptions, not claimed peer quotes. The 35% bad-case weighting reflects repeated disappointments and negative cash conversion. A worse outcome remains possible.

Expected total value is 35% × $0.319 + 50% × $0.891 + 15% × $1.584 = **$0.795**, a 9.6% gross gain. I allow 5% against terminal share prices for exit liquidity, plus $10 total brokerage on $2,250. That gives approximately **4.0% after costs**. Even zero trading costs would not clear 12.9%.

Ordinary-pick rule	My result at $0.725	Pass?
Bad loss no greater than 30%	56.0% loss, including dividends	No
Middle gain ≥ 1.5× bad loss	22.9% versus 84.0% required	No
Expected after-cost gain > 12.9%	Approximately 4.0%	No

Execution makes this worse. Your $2,250 is 20.5% of typical daily turnover. Paying $0.825 is 13.8% above the last trade; immediate sale at $0.72 loses 12.7% before brokerage. At that offer, the same scenarios return approximately minus 8.7% after costs. A patient $0.725 limit order might fill, but neither fill nor depth is assured. My 5% exit allowance is an assumption, not a guaranteed cost.

Special situation: also fails my return test. Assume a 10% chance of an executable $1.20 takeover plus $0.02 dividends, and 90% no deal. The no-deal value is the standalone distribution above: central $0.891 including dividends, probability-weighted $0.795, with $0.319 downside. It does not become zero, or automatically retain the takeover price, if nothing happens. Applying exit costs only to the no-deal branch gives an expected after-cost gain of **10.3%** at $0.725. Thus it fails even with the first two rules waived.

This conclusion is probability-sensitive: the same takeover payoff needs just over a 14% chance to pass at $0.725, but over 38% at $0.825. Ten per cent is my judgement given strategic fit without a disclosed process, not a measurable fact. Someone assigning a higher probability can reasonably reach a different special-situation conclusion.

What changes my mind. With unchanged scenarios, an executable price around **$0.45** passes all three rules; the bad-case constraint binds at $0.319 / 70% = $0.456. Operationally, two further halves near 3% NPATA margins with positive cash flow after plant spending and leases, plus earn-out settlement without unexpected dilution, would justify reducing downside risk. For the special situation, a disclosed credible proposal or sale process would matter far more than another small stake increase.

Sources and calculation notes

Information cut-off: 9 November 2026. Market quote, turnover, position size and 140.8m current shares are supplied by the brief, not independently timestamp-verified. Sources are primary unless explicitly described as pointers. Market Index and FinancialFilings helped locate filings; no broker forecast or press opinion determines the valuation. Scenario prices, probabilities, multiples, dividends, 5% exit allowance and $10 brokerage are analyst assumptions. Calculations use unrounded inputs, so displayed totals can differ slightly. Cash is not distributable excess by assumption; future acquisitions and additional equity issuance are not modelled. No bull case was consulted.

[1] FY26 annual report, 27 August 2026
Primary accounts: pp30,52-54; notes 3-4,11,18,20-22; substantial holders p92. Financial statements downloaded and read directly.

[2] FY26 investor presentation
Slides 7-10 and outlook: earnings, cash, backlog, pipeline and revenue mix.

[3] Aqua Metro acquisition update, 25 September 2025
30-day VWAP; $0.65 notional floor; 7,692,308-share approval cap and cash alternative.

[4] H1 FY26 interim report, 25 February 2026
Adjusted earnings reconciliation; property sale p10; amortisation note 5. H2 numbers are full year less published H1.

[5] AGM presentation, 27 October 2026
FY27 outlook: revenue growth and sustained H2 FY26 NPATA margin.

[6] Resignation and revised guidance, 13 June 2025
FY25 revenue and EBITDA reductions; Benson resignation announced, effective 31 December 2025.

[7] Business update, 31 October 2025
Prior difficulties continuing into H1 FY26; no FY26 guidance had then been issued.

[8] Revised FY26 guidance, 12 May 2026
$30m timing displacement and specific project explanations.

[9] FY24 annual report
FY24/FY23 statutory profit $9.363m/$9.491m; revenue $216.079m/$200.886m.

[10] Water market update, 26 October 2026
Four arrangements; approximately $2bn accessible programmes; explicit absence of guaranteed volumes.

[11] Defence head contract, 16 July 2026
Butterworth, approximately $23m; expected FY27/FY28 contribution.

[12] AusTender contract notice CN4271325
Primary register retrieved directly: $26,108,722.16; executed 15 July 2026; 19 August 2026 to 30 September 2027. TenderTracker was a discovery pointer only.

[13] DCCEEW fuel-security consultation paper, August 2026
Sections 2.2 and 3: proposed reserve delivery, July 2027 start, 2030 target and storage co-investment.

[14] DCCEEW consultation page
Consultation opened 18 August and closed 15 September 2026; proposals inform final settings.

[15] Ahrens initial substantial-holder notice, 4 December 2024
Scanned original visually inspected: 6,333,000 shares and 5.34% at 2 December.

[16] Ahrens substantial-holder notice, 1 April 2026
Scanned original visually inspected: 22,623,815 shares and 16.2% at 30 March.

[17] Ahrens acquisition of SBS Tanks
Ahrens primary release, 7 August 2026; strategic water and steel-tank capabilities.

[18] Anacacia substantial-holder notice, 10 June 2026
Purchases and sales disclosed; 5.94m shares sold December 2024 to June 2026, partially offset by purchases.

[19] Burnett substantial-holder notice, 23 September 2025
Scanned original visually inspected: sale of 1,235,713 shares; 7,780,887 remaining. Later percentage decline also reflects dilution.

[20] Aqua vendor escrow release, 22 June 2026
9,478,874 shares released on 30 June. Release is not a sale.

[21] NAOS substantial-holder notice, 12 June 2026
Earlier reduction to 14,049,461 shares and 9.99%.

[22] NAOS substantial-holder notice, 31 August 2026
On-market purchase of 1,502,043 shares on 28 August; resulting 15,551,504 shares and 11.04%.

[23] Takeovers Panel: summary of takeover provisions
Primary regulator explanation of the 20% acquisition restriction and exceptions.